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Core Theme North American Containerboard 9/1 Price Hike Fully Realized × Suzano Hikes Asian Pulp Quotes by \$20/ton × China GB 4806.10-2025 Coating Standard Enacted × Cheng Loong H1 Net Profit Surges 52x

North American Containerboard Price Hike

+\$80~140 / ton

Enacted in September invoicing · PCA / SW / IP 63% capacity oligopoly pushes full realization; Raw Material Spread breaks record at \$835/short ton

Suzano Leads Asian Hardwood Hike

+\$20 / ton

First price hike since April · Cerrado 2.55M ton capacity fully absorbed; hardwood establishes solid floor with Asia USD quotes advancing

China Imported NBSK Spot Price

USD 685 / ton

RMB 4,865 / ton (+\$6 / +45 RMB WoW) · Golden September restocking peaks; port inventories drop to 2.148M tonnes; SHFE basis tightens to +79 RMB

Hardwood/Softwood Spot Spread (NBSK - BHKP)

USD 62 / ton

RMB 445 / ton (-USD 1.5 / -10 RMB WoW) · Hardwood catch-up narrows spread safely below 500 RMB threshold, confirming synchronous price recovery

Taiwan Major Mill Financial Earnings

Cheng Loong H1 Profit Surges 52x / EPS NT\$1.45

H1 net profit NT\$1.602B hits 4-year high; Vietnam 1M ton capacity fully booked; Long Chen wins Sustainability Action Award for waste heat recovery

Global Regulatory Milestones

GB 4806.10 Active / PPWR 23 Days

China food contact coating rule in effect Sept 2; EU customs audit PFAS <50 ppm; EUDR countdown 117 days

1. 10-Point Executive Summary & Strategic Insights

- NA Containerboard** **North American Containerboard 9/1 Price Hikes Enacted with Dominant Producer Pricing Power:** PCA (+\$140/short ton), Smurfit Westrock (+\$100/short ton), and IP (+\$80/short ton) have formally executed their third-round price increases in September invoicing. Backed by 3.9M tons of permanent capacity retirements and peak seasonal packaging demand, linerboard spot prices push past \$960–\$980/short ton, widening the Raw Material Spread to an unprecedented \$835/short ton.
- Global Pulp** **Suzano Raises Asian Pulp Prices by \$20/ton, Concluding 5-Month Bottom Consolidation:** Global pulp leader Suzano announced a \$20/metric ton price hike for China and Asian markets effective September 2026—the first price hike in Asia since April. The move reflects complete global absorption of Cerrado's 2.55M ton supply and low buyer inventories, propelling BHKP spot to 4,420 RMB/ton (USD 615–620).
- Peak Season** **China Imported NBSK Spot Firms to 4,865 RMB/ton on "Golden September" Industrial Demand:** Port pulp inventories across Qingdao and Changshu declined for the eighth consecutive week to 2.148M tonnes. Downstream cultural and packaging mill operating rates reached 68.5%, while SHFE pulp futures settled at 4,786 RMB/ton with cash-futures basis tightly anchored at +79 RMB/ton.
- Spread Dynamics** **NBSK - BHKP Spread Contracts to 445 RMB/ton (\$62), Affirming Healthy Fiber Co-movement:** Faster hardwood recovery (+55 RMB) against softwood (+45 RMB) converged the spread to

445 RMB/ton, remaining comfortably under the 500 RMB substitution tipping point and eliminating down-trading risks.

- 5. **Geopolitical Energy** **Brent Crude Steady at \$94.65/bbl, Cementing High Chemical and Freight Surcharge Floors:** Enforcement of the US blockade on Iranian crude keeps Singapore VLSFO elevated, sustaining maritime Bunker Surcharges (BSS); AKD surface sizing, SBR latex, and PE extrusion coatings maintain year-to-date highs.
- 6. **Taiwan Mill Upside** **Cheng Loong (1904) Reports H1 Net Profit of NT\$1.602B (Up 52x YoY), with EPS of NT\$1.45:** Ramping of Ping Duong Phase 3 (400k MT/yr) pushed group annual capacity past 1M tons in Vietnam, capturing high-margin export orders displaced by elevated US containerboard pricing.
- 7. **Green Transition** **Long Chen (1909) Awarded Taiwan Sustainable Action Award, 7-Month Pre-Tax Profit Hits NT\$429M:** High operating rates (>95%) across Jiangsu and Hubei mills and proprietary waste heat recovery systems deliver double dividends in carbon reduction and production cost stabilization.
- 8. **China Regulation** **China GB 4806.10-2025 Food Contact Coatings Standard Officially in Effect (Sept 2):** The revised national standard formally covers paper coatings, imposing strict migration limits on primary aromatic amines, BPA, and heavy metals while accelerating PFAS substitution nationwide.
- 9. **EU Mandate** **EU PPWR Active for 23 Days; Rigorous PFAS Audits Accelerate Aqueous Barrier Shift:** European customs actively inspect food packaging for total fluorine (<50 ppm) and Design for Recycling (DfR), triggering strong European and Asian demand for certified non-PFAS aqueous coated board from YFY and Chung Hwa Pulp.
- 10. **Energy Shield** **Taiwan Mills' Solid Recovered Fuel (SRF) Replacement Exceeds 46%, Anchoring Steam at NT\$735/ton:** Internal circular biomass cogeneration allows Taiwanese mills to decouple steam costs from volatile grid tariffs, creating a distinct margin moat over gas-dependent overseas rivals.

2. Key Indicators Dashboard

2.1 Raw Materials (Pulp Market)

Indicator	Latest Price (USD-First / Local Currency)	Date	Change	Market Dynamics & Trends
China Imported NBSK Spot Price	USD 685 / ton (RMB 4,865)	2026-09-04	+USD 6 (+45 RMB)	Golden September restocking kicks off; spot prices advance steadily
China Imported BHKP Spot Price	USD 620 / ton (RMB 4,420)	2026-09-04	+USD 8 (+55 RMB)	Suzano leads \$20 Asian hike; downstream printing and tissue run rates solid
SHFE NBSK Futures Settlement (SP)	USD 675 / ton (RMB 4,786)	2026-09-04	+USD 5.5 (+38 RMB)	Cash-futures basis anchored at +\$11 (+79 RMB); long speculative interest builds
China Mainstream Port Pulp Inventory	2.148M tonnes	2026-09-04	-36k tonnes	8th consecutive week of destocking; Changshu & Qingdao outbound flow high
NBSK - BHKP Spot Spread	USD 62 / ton (RMB 445)	2026-09-04	-USD 1.5 (-10 RMB)	Hardwood catch-up tightens spread safely below 500 RMB substitution tipping point
Europe Imported NBSK Spot (CIF)	USD 1,230–1,295 / ton	2026-09-04	+USD 10	Nordic mill curtailments maintain persistent global structural premium

2.2 Recovered Fiber (OCC Market)

Indicator	Latest Price (USD-First / Local Currency)	Date	Change	Market Dynamics
US 11# OCC Export FAS (West Coast)	USD 135–137 / short ton (RMB 955–970)	2026-09-04	+USD 1	Steady Asian packaging procurement bolsters export prices
US 11# OCC Export FAS (East Coast)	USD 137–139 / short ton (RMB 970–985)	2026-09-04	+USD 1	Transatlantic shipments balance east coast recycled fiber supply
US Domestic OCC YTD Hike	+USD 100 / short ton	2026-09	Realized	High containerboard run rates (92%) provide resilient domestic fiber demand
China Domestic OCC Benchmark (Grade A)	USD 284 / ton (RMB 2,010)	2026-09-04	+USD 2.1 (+15 RMB)	Nine Dragons & Shanying raise collection quotes by 20–30 RMB; yard inventory lean
Taiwan Domestic OCC Mill Gate Price	USD 130.8 / ton (NT\$ 4,200)	2026-09-04	Flat	Domestic recycling collection and mill procurement strictly balanced

2.3 Paperboard & Finished Products

Market	Product Category	Action / Hike (USD-First)	Effective Date	Value Chain Impact Scope
US	Containerboard / Linerboard	PCA +\$140, SW +\$100, IP +\$80	2026-09-01 (Enacted)	Full billing execution across major boxmakers and contract tiers
US	Raw Material Spread	USD 835 / short ton (NT\$ 26,800)	2026-09-04	All-time record margin buffer for North American integrated mills
Europe	Kraftliner / Recycled Liner	Major mills append +USD 44–66 / ton (+€40–60)	2026-09-01	Transfers chemical, starch, and maritime transport cost inflation
China	Ivory Board / Food Cardboard	Cumulative +USD 42 / ton (+RMB 300)	Fully Realized	GB 4806.10 enactment on Sept 2 spurs non-fluorine barrier paperboard replacement
Taiwan	Industrial Paper & Cartons	Cheng Loong +10% realized; Ping Duong 1M MT online	Full Commercial Run	Robust export packaging margins; electronics, apparel, and agri produce boxes

2.4 Key Energy, Foreign Exchange & Maritime Logistics Radar

Domain	Indicator Benchmark	Latest Quote (USD-First)	Trend & WoW	Value Chain Operational & Financial Significance
Geopolitics	Brent Crude Oil Futures	\$94.65 / bbl	+0.6% WoW	Middle East supply risks sustain crude high; chemical sizing & BSS elevated
Forex	USD / TWD Exchange Rate	32.120	NTD +0.06	Moderate NTD strength reduces imported fiber and OCC foreign exchange costs
Forex	EUR / USD Exchange Rate	1.0965	Euro Firm	Strong Euro limits European linerboard export dumping into Asian corridors
Forex	USD / BRL Exchange Rate	5.0850	Real +0.4%	Solid Real cushions Brazilian pulp margins, disincentivizing USD discounts
Freight	Shanghai Container Freight (SCFI)	3,425.80 pts (USD)	+0.8%	US West Coast \$6,580/FEU, East Coast \$9,380/FEU; peak pre-holiday cargo volume
Freight	Baltic Dry Index (BDI)	1,835 pts	+1.4%	Bulk woodchip carrier charters and long-term pulp vessels remain balanced
Energy	Taiwan Thermal Coal (Taipower CIF)	\$130.50 / ton	-0.4% MoM	Ample Australian supply; mill SRF biomass >46% locks steam at NT\$735/ton (\$22.9)
Energy	China Thermal Coal (QHD 5500)	USD 117 / ton (RMB 830)	Controlled	Post-summer inventory ample; paper mill power coal cost steady at RMB 270–300/t
Energy	Japan Imported Coal (CIF)	\$138.00 / ton	Range-bound	Japanese majors sustain high specialty paper export prices to cover power costs

3. Price Trends & Full-Chain Forward Matrix

Chart 1 | China NBSK vs. BHKP Spot Pulp Spread Dynamics (2026-06 ~ 2026-09)

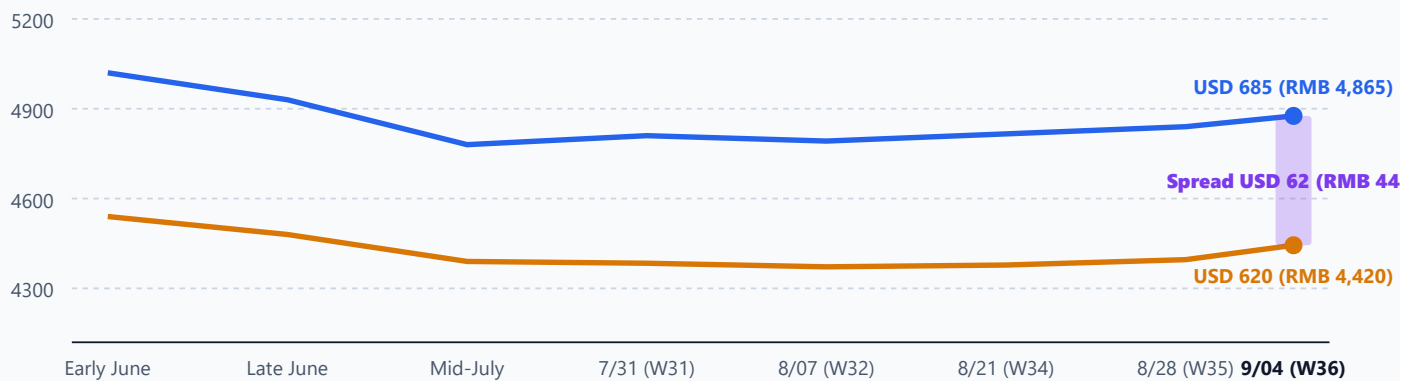


Chart 2 | North American Containerboard Hikes vs. Recovered Fiber (OCC) Raw Spread (\$835/ton Record)

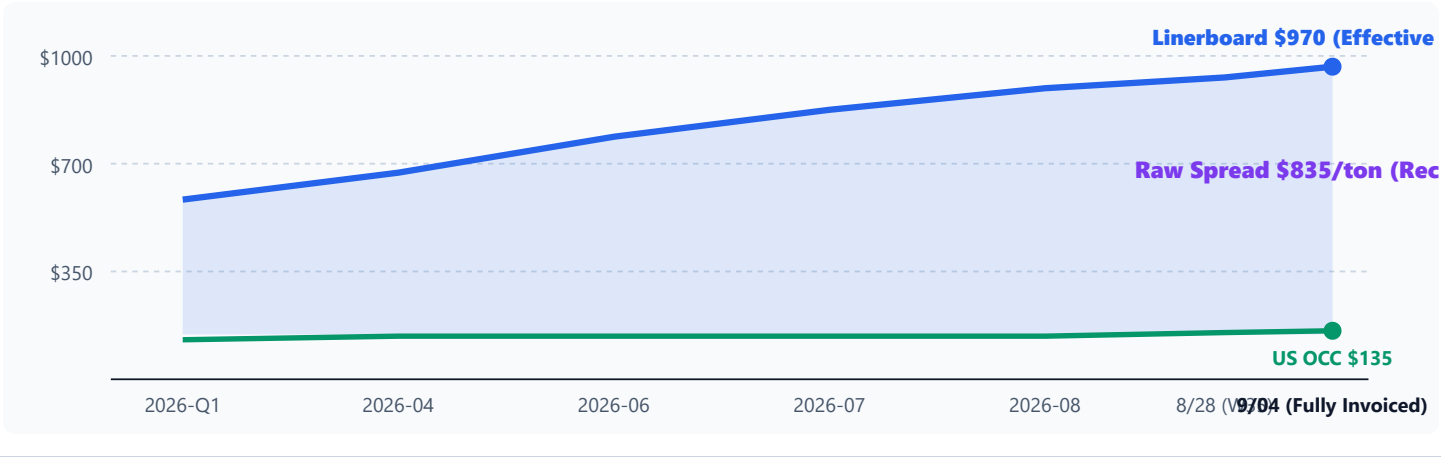


Chart 3 | Taiwan Listed Paper Mills 2026 YoY Revenue & H1 Profit Surge

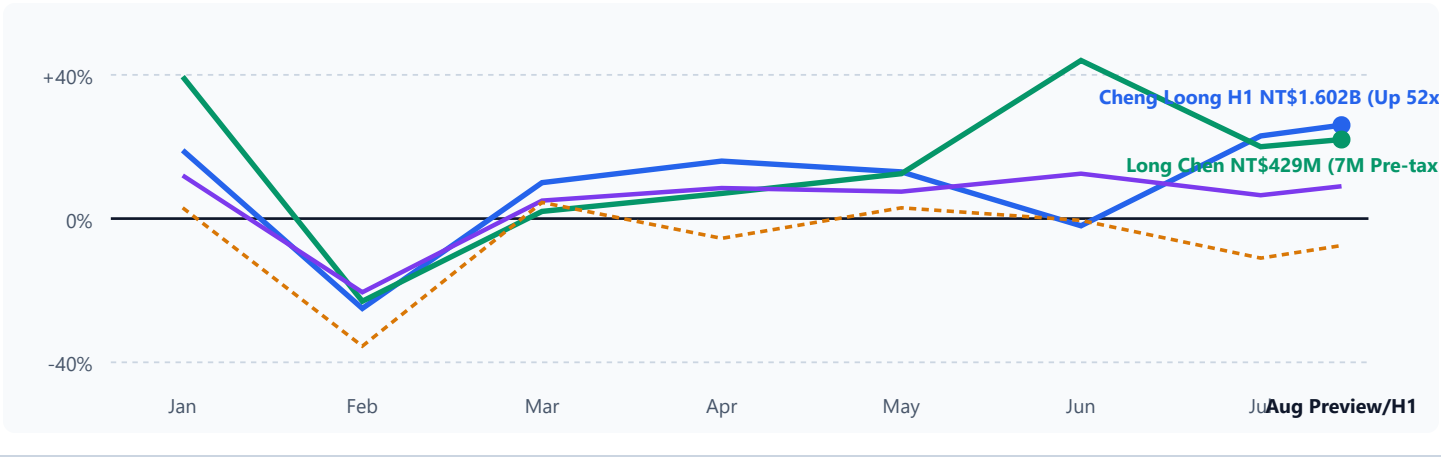


Chart 4 | Global Containerboard Prices & Regional Price Hikes Comparison (Sept 1 Enacted)

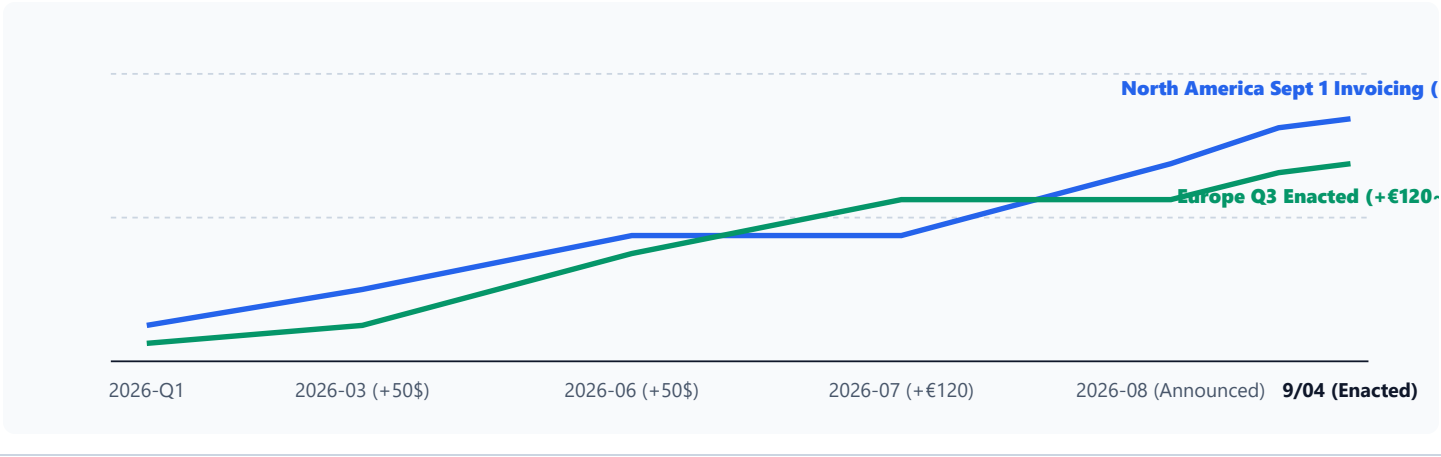
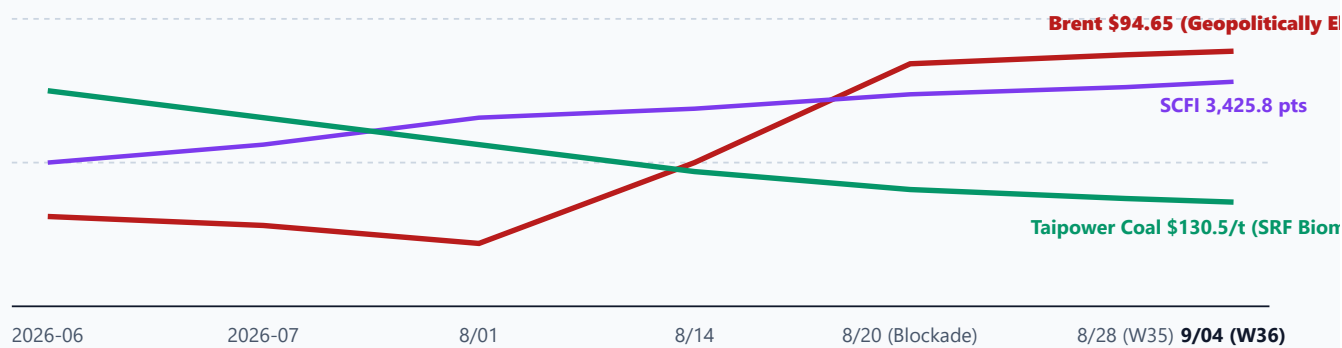


Chart 5 | Geopolitical Energy Shock & Brent Crude / Coal / SCFI Freight Index (2026-09-04)



3.6 Full-Chain Forward Outlook & Prediction Matrix (Energy × Pulp × Paper)

Target Benchmark	Category	Current Base (USD-First)	1M Target	3M Target	6M Target	Direction	Primary Drivers & Risk Boundaries
Brent Crude Oil	Energy	\$94.65 / bbl	\$92–98	\$88–95	\$82–90	Geopolitically Elevated	Enforcement of Iranian export embargo; persistent bunker surcharges (BSS)
Taiwan Steam Cost	Energy	NT\$735 / ton (\$22.9)	NT\$710–750	NT\$700–740	NT\$690–730	Protected Moat	Ample Australian coal imports + >46% SRF circular biomass substitution rate
China Power Coal (QHD)	Energy	USD 117 / ton (RMB 830)	\$114–119	\$110–116	\$108–114	Range-bound	Autumn seasonal demand transition; long-term contracts protect paper mill margins
SCFI Freight Index	Freight	3,425.8 pts (USD)	3,350–3,550	2,800–3,100	2,200–2,600	High Consolidation	Peak season export volumes + Red Sea detour costs establish high freight floor
Bleached Softwood (NBSK)	Pulp	USD 685 / ton (RMB 4,865)	\$685–715	\$715–745	\$735–770	Bullish Recovery	Autumn printing and packaging rush; European tight supply spillover; futures basis tight
Bleached Hardwood (BHKP)	Pulp	USD 620 / ton (RMB 4,420)	\$620–640	\$635–655	\$645–665	Bottom Confirmed	Suzano initiates +\$20 Asian hike; Cerrado output fully digested; low buyer stocks
US Containerboard	Paper	+\$80–140 / short ton	Full Sept 1 Execution	Peak Firm	Super-Cycle	Seller Strong	3.9M tons permanent mill closures; record \$835 spread; Cheng Loong Vietnam runs full
Ivory / Food Cardboard	Paper	USD 645–665 (RMB 4,550–4,700)	\$665–685	\$685–720	\$700–745	Upward Repricing	China GB 4806.10-2025 in effect Sept 2; non-fluorine barrier substitution surges
Cultural Paper (Woodfree)	Paper	USD 695 / ton (RMB 4,950)	\$695–725	\$710–745	\$725–760	Seasonal Strength	Textbook printing demand peak; m curtailments defend quotes; real hikes +\$14 (+100 RMB)
Tissue Parent Rolls	Paper	USD 760 / ton (RMB 5,400)	\$750–780	\$765–795	\$780–815	Robust	Mid-Autumn and e-commerce pre-stocking; low-cost pulp stocks wide gross margins

Scenario & Sensitivity Model (Outlook & Stress Test)

- **Base Case (Probability 65%):** Sept 1 North American containerboard hikes achieve >90% contract billing compliance; crude oil fluctuates between \$92–98/bbl; NBSK pulp climbs steadily within USD 685–715 (RMB 4,865–5,050). **Taiwan major mills expand gross margins by 180–250 bps in H2.**
- **Bull Case (Probability 20%):** Southeast Asian and Chinese holiday consumption beats forecasts; Suzano's \$20 hike is fully digested with secondary hikes announced; Chinese industrial packaging implements +\$21/ton (+150 RMB). **Taiwan paper producers achieve >120% YoY quarterly net profit growth.**
- **Bear Case (Probability 15%):** Middle East tensions spill over pushing crude past \$105/bbl; macro inflation curtails retail consumption. **Mills with self-generating SRF biomass power plants and high domestic recovered fiber recycling rates maintain superior margin defense.**

4. Dual Spread Radar & Lead-Lag Transmission Analysis

Spread Monitoring Metric	Current Observation (USD-First)	Industry Tipping Point	Current Status & Strategic Significance
NBSK - BHKP Spread	USD 62 / ton (RMB 445)	USD 70 (RMB 500)	Spread stabilized at \$62 (445 RMB); hardwood catch-up synchronizes fiber chain below 500 RMB substitution line
Linerboard - OCC Raw Material Spread	USD 835 / short ton (NT\$ 26,800)	USD 650 / short ton	Spread expands to record \$835 peak; raw material costs fully passed through; mill unit profit enters super-cycle
US vs Taiwan OCC Price Spread	USD 5 / ton (NT\$ 160)	USD 20 / ton	Domestic and imported OCC prices converge tightly; grants Taiwanese mills high flexibility in fiber blending
Biomass (SRF) vs Coal Steam Cost Diff	30–36% Savings	20% Threshold	Steam costs save NT\$210–260 (\$6.5–8.2) per ton vs pure coal; generates >NT\$380M annualized operating profit per plant

5. Global Top 5 Corporate Profiles & News Scan

1. **International Paper (IP, United States):** Sept 1 containerboard hike of +\$80/short ton formally recognized in billing; the DS Smith merger progresses through final regulatory scrutiny. Combined transatlantic capacity will exceed 24M tonnes annually, substantially augmenting IP's global price-setting leadership.
2. **Smurfit Westrock (SW, United States / Ireland):** Sept 1 linerboard (+\$100/t) and kraft paper (+\$100/t) price increases fully implemented. Merger synergy integration proceeds ahead of schedule, with mill network rationalization delivering significant fixed-cost savings.
3. **Suzano (Brazil):** Initiated a \$20/metric ton price increase across Asian markets for September deliveries. Suzano also concluded an agreement contributing land assets for a 10% equity stake in the greenfield Imetame deepwater port terminal in Espírito Santo, securing long-term maritime pulp logistics.
4. **Bohui Paper (Bohui / APP, China) & PT Indah Kiat (APP, Indonesia):** Bohui reported H1 net profit of RMB 77.06M; with China's GB 4806.10-2025 coating regulation taking effect on Sept 2, its non-fluorine barrier paperboard lines run at 100% capacity. Meanwhile, APP's Indonesian flagship Indah Kiat listed IDR 3.5 trillion in bonds and Sukuk on the IDX on Sept 3 to finance greenfield packaging capacity in Karawang.

5. **Cheng Loong (1904) & Long Chen (1909) (Taiwan):** Cheng Loong's H1 net profit surged 52-fold to NT\$1.602B (EPS NT\$1.45, 4-year high) driven by Ping Duong Phase 3 expansion in Vietnam. Long Chen generated NT\$429M in 7-month pre-tax profit, advancing its corporate restructuring. *(Global Note: Japan's Nippon Paper Industries quickly contained a smoke stack dismantling incident at its Yatsushiro Mill on Sept 3, coordinating peer production while partnering with ENEOS on 2nd-generation bioethanol).*

6. High-Level Procurement & Strategic Decision Matrix

Industry Persona	Primary Pain Points & Bottlenecks	1–3 Month Strategic Action Plan	Feedstock Procurement & Hedging Recommendations
Primary Paper Mills (Containerboard & Pulp)	High oil prices elevate chemical additives and marine BSS surcharges; pulp rebounds	Capitalize on Sept 1 Western price realization to hike export quotes; maximize internal SRF biomass co-generation	Secure Q4 softwood pulp import contracts on dips; maintain 35–45 days of recovered fiber inventory
Paper Merchants & Distributors (Wholesale)	Mill price hikes take effect; downstream printers resist rapid cost pass-through	Prioritize locking inventory in ivory board, non-fluorine food board, and premium kraftliner	Curtail loose credit terms; adopt "full prepayment price-lock" to hedge continuous paperboard increases
Packaging Converters & Boxmakers (Cartons)	Substrate costs surge; China GB 4806.10 and EU PPWR impose strict PFAS compliance	Enforce contractual raw-material indexation clauses, passing +5~10% box price adjustments to brand owners	Audit coatings and adhesives; transition 100% to certified water-based bio-barrier paperboard
Global Brand Exporters (End Users)	EU PPWR PFAS audits (<50 ppm) and EUDR 117-day traceability deadlines mount	Mandate packaging suppliers deliver FSC 100%, EU DDS geolocation data, and PFAS-free test reports	Pre-book Q4 Christmas holiday packaging allocations and lock long-term freight agreements to hedge BSS

7. Global Packaging Regulations & ESG Green Transformation

- **China Food Contact Coatings Standard (GB 4806.10-2025):** Officially in force since 2026-09-02 (Day 3). Formally brings paper coatings under national food safety governance, tightening limits on primary aromatic amines, BPA, and heavy metals, while banishing PFAS additives. Triggers a nationwide transition across Chinese food-grade packaging.
- **EU PPWR (Regulation (EU) 2026/1892):** Active for 23 days. European customs rigorously inspect food-contact packaging for total fluorine (<50 ppm). Shipments lacking certified Design for Recycling (DfR) and non-fluorine proof face severe border rejection risks.
- **EU PFHxA Ban Final Countdown:** 44 days remaining (effective 2026-10-18). Perfluorohexanoic acid and related substances will be prohibited across EU food packaging, accelerating market conversion to aqueous bio-based barriers.
- **EU EUDR Deforestation Regulation Countdown:** 117 days remaining (effective 2026-12-30). All wood pulp, paper, and cartons exported to Europe must carry plot-level GPS coordinates and Due Diligence Statements (DDS).
- **Taiwan 2026 Carbon Fee Implementation:** Large industrial emitters prepare inaugural greenhouse gas filings (estimated NT\$300~500/ton). Cheng Loong, YFY, and Long Chen expand SRF biomass fuels and

waste heat recovery to secure preferential fee discounts.

8. Strategic Implications for Taiwan Paper Industry

1. **Feedstock Importers:** The NT Dollar remains firm at 32.12, preserving foreign exchange purchasing power. Importers should capitalize on NBSK at USD 685/MT and US OCC at USD 135/short ton to lock in Q4 safety reserves.
2. **Containerboard Manufacturers:** North American Sept 1 hikes widen global virgin-to-recycled spreads to \$835/ton. Cheng Loong's 1M MT capacity in Vietnam and Long Chen's >95% capacity utilization in China position both to expand H2 revenues and profits.
3. **Specialty & Cultural Paper Mills:** Chung Hwa Pulp's non-plastic barrier board directly fulfills GB 4806.10 and EU PPWR mandates. Cultural paper capacity discipline supports premium price realization in domestic and export markets.
4. **Packaging Converters & Boxmakers:** Faced with mill price hikes, boxmakers must stand firm in passing a 5–10% price adjustment to electronics, manufacturing, and agricultural clients to protect gross margins.
5. **Brand Export Manufacturers:** Must conduct comprehensive supply chain audits for PFAS-free verification and EUDR compliance to prevent cargo impoundment at European and international ports.

9. Value Chain Transmission Mechanism

- **Pulp Price Transmission:** Suzano Asian hike +\$20/MT → Imported NBSK climbs to \$685/MT → Woodfree and ivory board price hikes (+RMB 100~200/MT) → Printing and packaging cartons repriced (transmission lag: 3–5 weeks).
- **Containerboard Transmission:** North American containerboard +\$80~140/ton enacted → Asian imported kraftliner rises +\$30~50/MT → Taiwan & Southeast Asian corrugated carton prices adjust +5~10% (transmission lag: 2–4 weeks).
- **Regulatory Substitution:** China GB 4806.10 in force + EU PPWR PFAS audits → Legacy fluorinated/PE paperboards phased out → Aqueous bio-based barrier paperboard market share accelerates past 50%.

10. Key Milestones Calendar

Effective Date	Regulatory & Industrial Milestone	Value Chain Impact & Operational Countermeasures
2026-08-12	EU PPWR Packaging Regulation Officially Enacted	Active for 23 days; European exports subject to DfR recyclable design and PFAS audits
2026-09-01	North American Top 3 Containerboard Hikes Enacted	PCA (+\$140), SW (+\$100), IP (+\$80) fully invoiced; Raw Material Spread hits record
2026-09-02	China GB 4806.10 Food Coating Standard Enacted	Paper coatings regulated; aromatic amines and PFAS restricted; aqueous barriers mandatory
2026-10-18	EU PFHxA Ban Takes Effect (Countdown: 44 Days)	Fluorinated grease-resistant additives banished from EU food packaging
2026-12-30	EU EUDR Deforestation Rule Enforced (Countdown: 117 Days)	Imported wood pulp, paper, and boxes must supply plot-level GPS DDS filings
2027-01-01	Taiwan 2026 Carbon Fee Reporting & Formal Levying	Paper mills face inaugural carbon fee declarations; SRF biomass secures discounts